Practice workbook · Fiscal deficits and surpluses: meaning and effects

What fiscal deficits and surpluses are and their consequences for debt, services, taxes and growth.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: ______________________ Class: ___________ Date: ___________

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

Type ID: ECO-T21-25

1. Question 3 · part d · 6 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part d only.

3 (a) Which **one** of the following is an example of deregulation?

(1)

☒ **A** Introducing a national minimum wage rate

☒ **B** More health and safety laws

☒ **C** Introducing licences for firms to operate

☒ **D** More firms allowed to enter a market

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

☒ **A** An improvement in productivity

☒ **B** An improvement in weather conditions

☒ **C** An increase in wage rates

☒ **D** An increase in the consumption of goods

1. Question 3 · part d · 6 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part d only.

The UK Government gives subsidies to firms in the renewable energy market that provide wind and solar energy.

(c) Explain **one** reason why the UK Government gives subsidies to firms in the renewable energy market.

(3)

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1. Question 3 · part d · 6 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part d only.

Nauru is a tiny island country in Micronesia, northeast of Australia. It has a population of 10,824. In 2019, Nauru had a fiscal surplus of 16.1% of GDP.

(d) With reference to the data above and your knowledge of economics, analyse the benefits of having a fiscal surplus for a country such as Nauru.

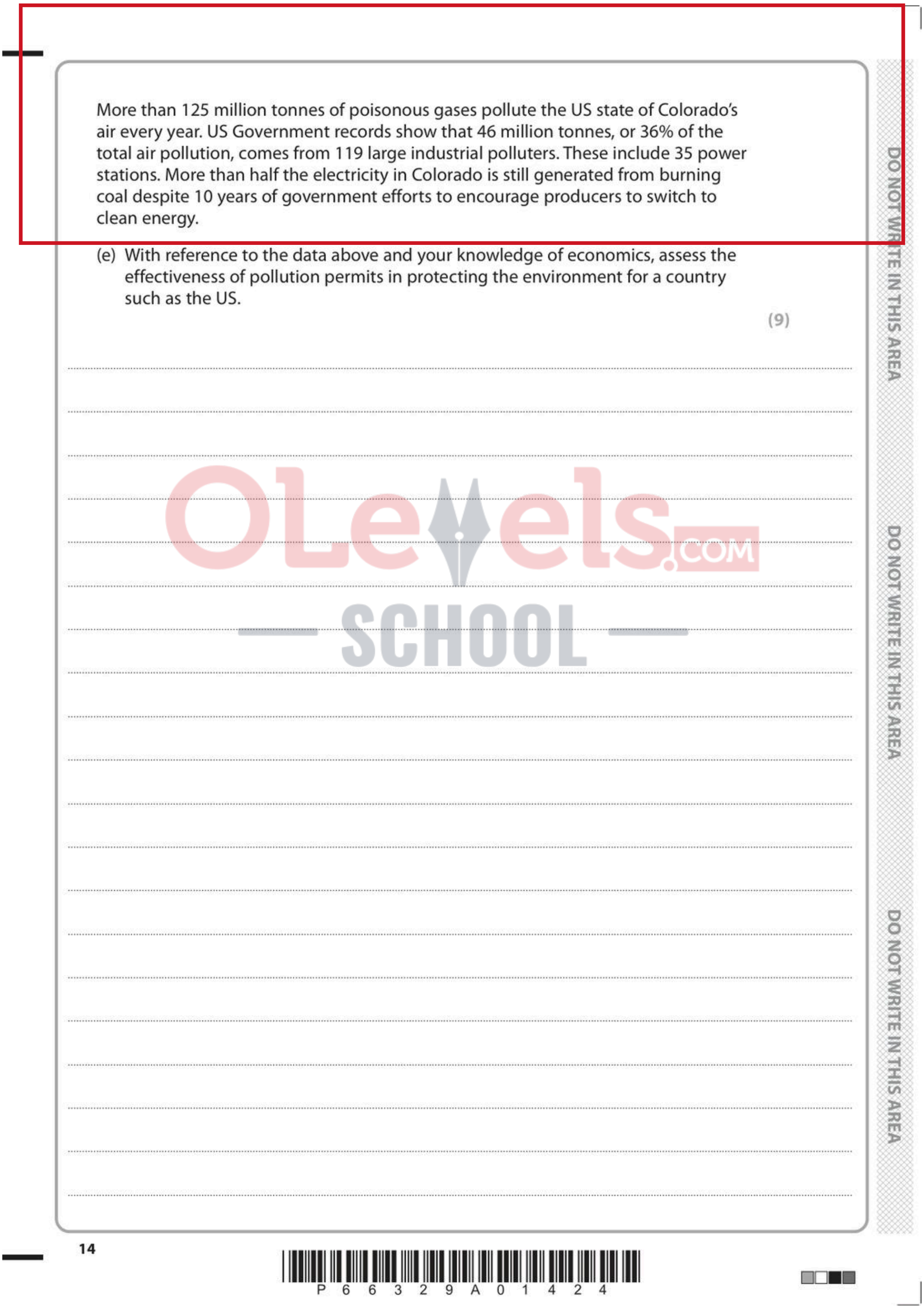
(6)

Turn over ▶

1. Question 3 · part d · 6 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part d only.



More than 125 million tonnes of poisonous gases pollute the US state of Colorado's air every year. US Government records show that 46 million tonnes, or 36% of the total air pollution, comes from 119 large industrial polluters. These include 35 power stations. More than half the electricity in Colorado is still generated from burning coal despite 10 years of government efforts to encourage producers to switch to clean energy.

(e) With reference to the data above and your knowledge of economics, assess the effectiveness of pollution permits in protecting the environment for a country such as the US.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

2. Question 1 · part h · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

1 (a) In a recovery, a country's Gross Domestic Product (GDP)

(1)

☒ **A** rises

☒ **B** falls

☒ **C** stays the same

☒ **D** fluctuates

(b) A trade bloc is a group of countries that have

(1)

☒ **A** the same interest rate

☒ **B** common borders between members

☒ **C** the same currency

☒ **D** a reduction in trade barriers between members

(c) What is meant by the term multinational corporation (MNC)?

(2)

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2. Question 1 · part h · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

(d) Describe **one** impact of economic growth on the productive potential of a country.

(2)

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Figure 1 shows the main components of Germany's current account in 2016.

	€ billion
Trade in goods (visibles)	+271.7
Trade in services (invisibles)	-22.4

Figure 1

(Source: Bundesbank)

(e) Using the data in Figure 1, calculate in € bn the current account balance for Germany in 2016.

(2)

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Turn over ▶

2. Question 1 · part h · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

(f) The UK exports goods to eurozone countries. Using the diagram below, draw the effects of an increase in exports from the UK to the eurozone on the exchange rate of the £. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

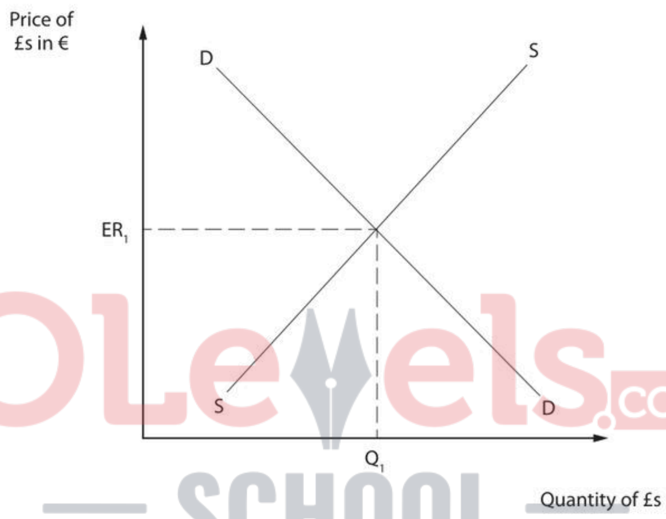


Figure 2

In September 2017, the growth rate of the gross domestic product (GDP) in the UK was 0.4%, a slight increase of 0.1% on the previous quarter.

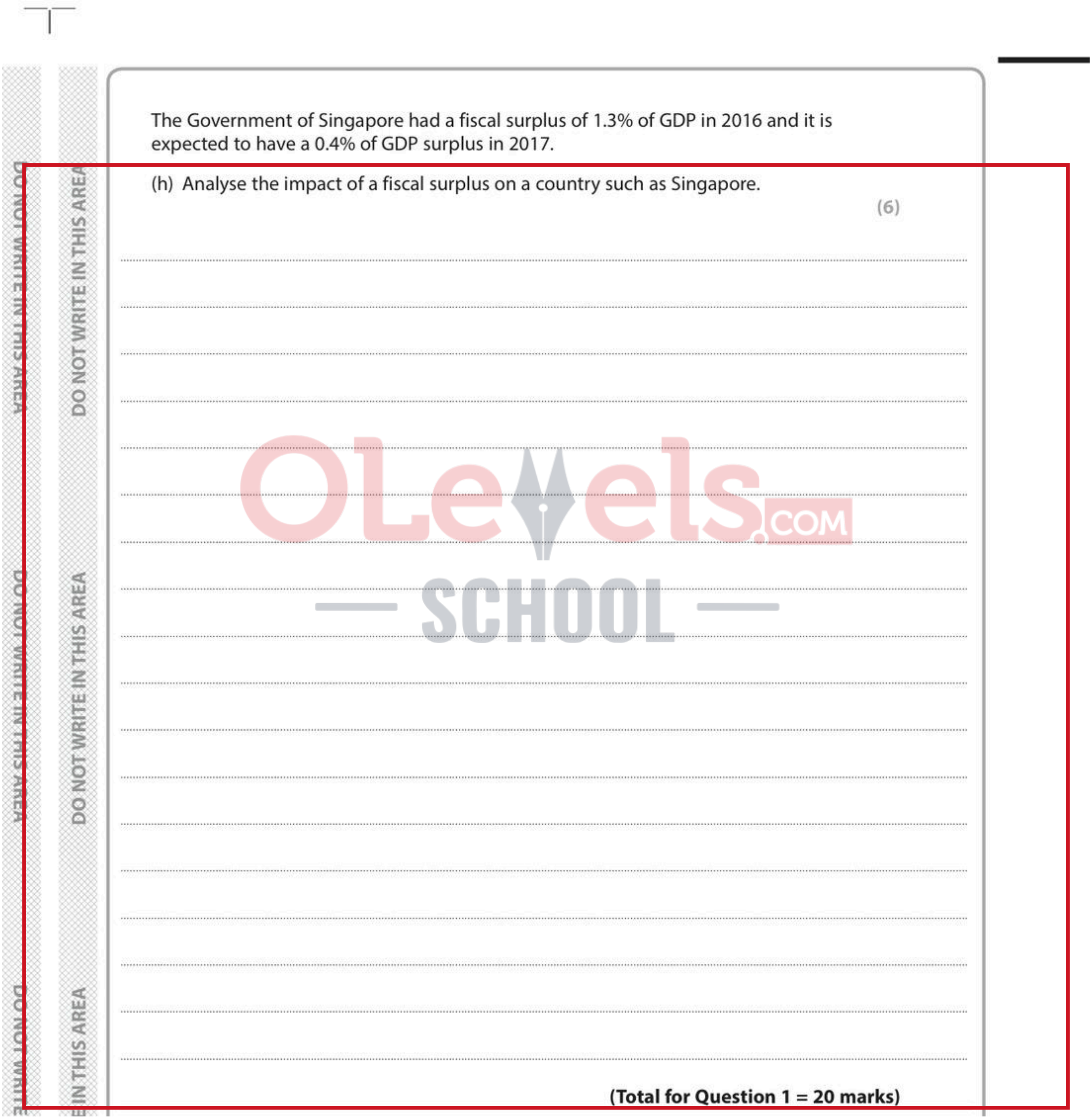
(g) Explain **one** reason why economic growth is a key macroeconomic objective for a country such as the UK.

(3)

2. Question 1 · part h · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.



The Government of Singapore had a fiscal surplus of 1.3% of GDP in 2016 and it is expected to have a 0.4% of GDP surplus in 2017.

(h) Analyse the impact of a fiscal surplus on a country such as Singapore.

(6)

(Total for Question 1 = 20 marks)

SCHOOL

2. Question 1 · part h · 6 marks · Working and answer

Working and answer

3. Question 2 · part e · 3 marks

2020 JAN · Paper 02 (regional R)

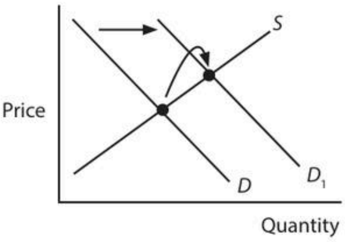
Further practice · Attempt part e only.

2 In 2018, the European Union (EU) trade bloc started to reduce agricultural subsidies to farmers within the EU.

(a) Which **one** of the following diagrams shows the market for agricultural products following the removal of the subsidy?

(1)

☒ **A**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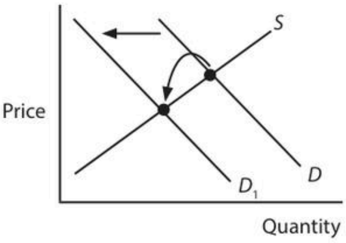
☒ **B**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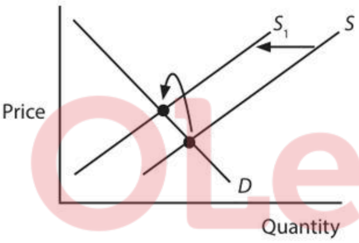
☒ **C**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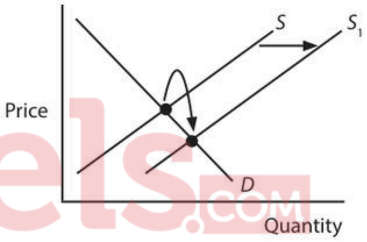
☒ **D**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SCHOOL

3. Question 2 · part e · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

(b) Which **one** of the following is likely to result from an increase in free trade?

(1)

☒ **A** Increased prices

☒ **B** Increased choice for consumers

☒ **C** Decrease in standards of living

☒ **D** Decrease in market opportunities for business

(c) State **one** macroeconomic objective.

(1)

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(d) What is meant by the term revaluation?

(2)

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3. Question 2 · part e · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

India set a target for its fiscal deficit of 3.3% of its GDP for the year ending March 2019.

(e) Explain **one** reason why the Indian Government's fiscal deficit is likely to stimulate economic growth.

(3)

In 2017, the tertiary sector contributed 69.3% to Germany's GDP and the secondary sector contributed 30.1%. In comparison, the primary sector only accounted for 0.6% of GDP.

(f) Explain a typical trade pattern for a developed country such as Germany.

(3)

3. Question 2 · part e · 3 marks · Working and answer

Working and answer

SCHOOL

4. Question 3 · part a · 1 mark

2020 JAN · Paper 02

Further practice · Attempt part a only.

3 (a) A fiscal surplus occurs when

(1)

☒ **A** a country exports more than it imports

☒ **B** government revenue is greater than government expenditure

☒ **C** a country imports more than it exports

☒ **D** government expenditure is greater than government revenue

(b) In an exchange rate system without government intervention, a rise in the exchange rate is known as

(1)

☒ **A** appreciation

☒ **B** devaluation

☒ **C** depreciation

☒ **D** revaluation

4. Question 3 · part a · 1 mark · Working and answer

Working and answer

5. Question 2 · part d · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

2 (a) Which **one** of the following means having more of one thing but less of another thing?

(1)

☒ **A** Menu costs

☒ **B** Trade-off

☒ **C** Opportunity cost

☒ **D** Trading bloc

(b) Which **one** of the following is a role of a central bank?

(1)

☒ **A** Investing in firms

☒ **B** Raising taxes

☒ **C** Asset purchasing

☒ **D** Lending money to individuals

(c) State **one** type of inflation.

(1)

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(d) What is meant by the term fiscal surplus?

(2)

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5. Question 2 · part d · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Indonesia is one of the largest exporters of coal in the world. In 2020, the Indonesian Government started to deregulate the mining industry by removing some environmental controls.

(e) Explain **one** disadvantage of deregulation for a country such as Indonesia.

(3)

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(f) Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

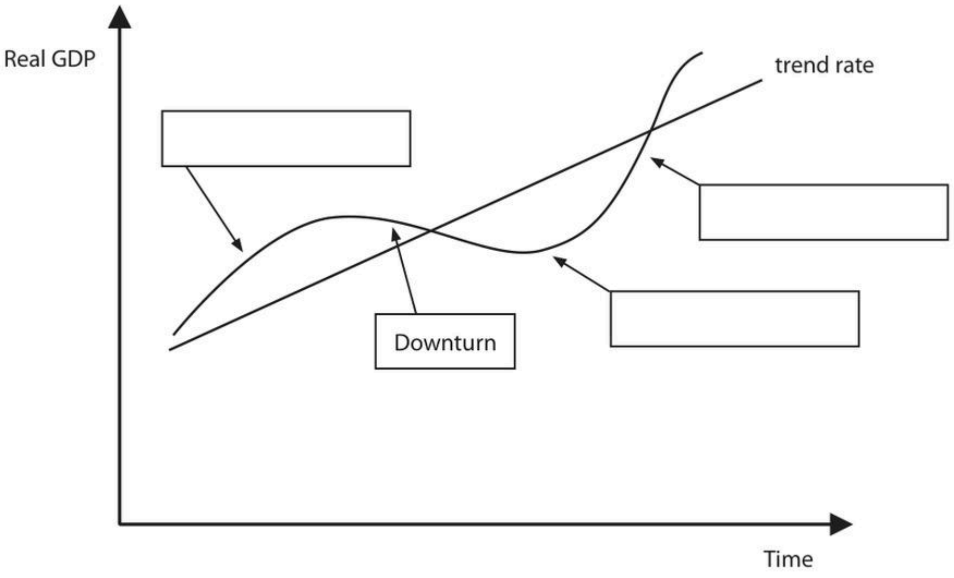

Figure 2

5. Question 2 · part d · 2 marks · Working and answer

Working and answer

6. Question 2 · part g · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

2 (a) When a central bank buys government bonds from commercial banks it is known as

(1)

☒ **A** asset purchasing

☒ **B** privatisation

☒ **C** payment of interest

☒ **D** deregulation

The euro (€) is the currency used in Italy and the pound sterling (£) is the currency used in the UK.

(b) If the exchange rate changes from £1 = €1.20 to £1 = €1.10 then

(1)

☒ **A** UK pound sterling (£) has appreciated against the euro (€)

☒ **B** holidays in Italy will be cheaper for UK tourists

☒ **C** imports from Italy to the UK will be cheaper

☒ **D** UK exports to Italy will be cheaper

(c) State **one** possible trade-off with economic growth.

(1)

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(d) What is meant by the term devaluation?

(2)

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6. Question 2 · part g · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

US President Joe Biden recently signed a deal to fund 32,000 kilometres of new roads and 10,000 new bridges to improve the US infrastructure.

(e) Explain **one** way government spending on infrastructure can benefit an economy such as the US.

(3)

SCHOOL

6. Question 2 · part g · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

In 2021, the UK and Norway agreed to increase fishing quotas by 20% for 2022.

(f) Using the diagram below, draw the effects of the new quota on the equilibrium price and quantity of fish. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

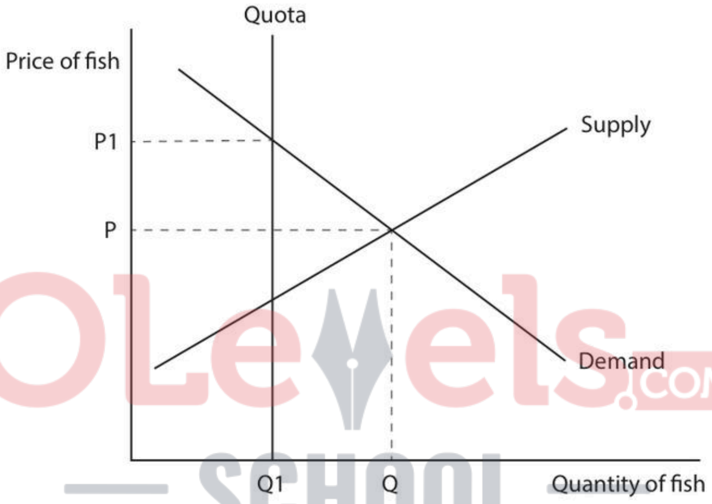


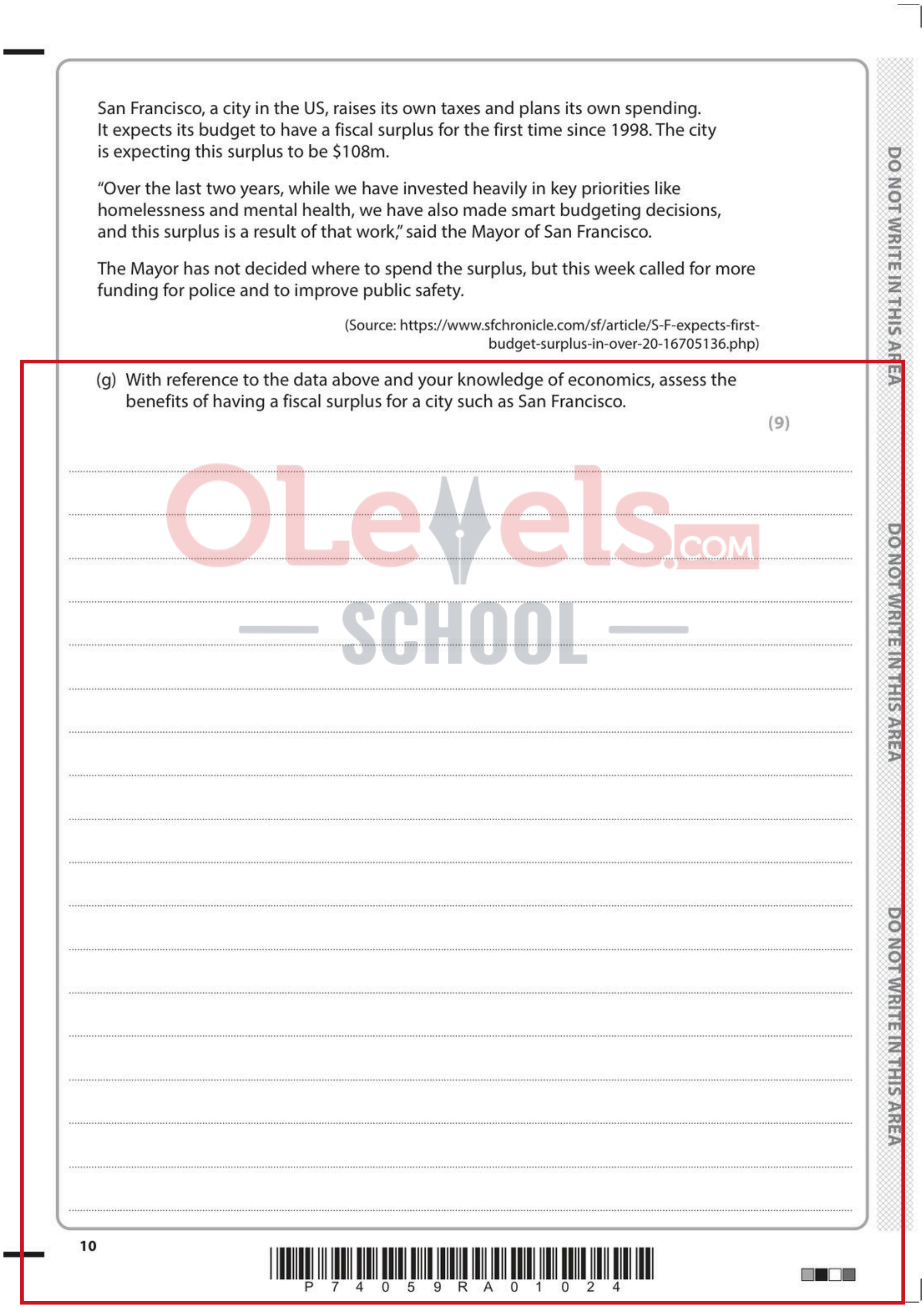
Figure 3

Turn over ▶

6. Question 2 · part g · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.



San Francisco, a city in the US, raises its own taxes and plans its own spending. It expects its budget to have a fiscal surplus for the first time since 1998. The city is expecting this surplus to be $108m.

"Over the last two years, while we have invested heavily in key priorities like homelessness and mental health, we have also made smart budgeting decisions, and this surplus is a result of that work," said the Mayor of San Francisco.

The Mayor has not decided where to spend the surplus, but this week called for more funding for police and to improve public safety.

(Source: https://www.sfchronicle.com/sf/article/S-F-expects-first-budget-surplus-in-over-20-16705136.php)

(g) With reference to the data above and your knowledge of economics, assess the benefits of having a fiscal surplus for a city such as San Francisco.

(9)

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6. Question 2 · part g · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

(Total for Question 2 = 20 marks)

6. Question 2 · part g · 9 marks · Working and answer

Working and answer

— SCHOOL —

7. Question 4 · part b · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

4 Figure 3 shows the fiscal deficit (€bn) for Spain in 2019 and 2020.

	2019	**2020**
Fiscal deficit	–€35.64bn	–€123.07bn

Figure 3

(Source: https://www.statista.com/statistics/270401/budget-balance-in-spain/)

(a) Calculate, to two decimal places, **the percentage change** in the fiscal deficit for Spain between 2019 and 2020. You are advised to show your working.

(2)

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7. Question 4 · part b · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

One of Spain's main macroeconomic objectives is to reduce its fiscal deficit.

(b) With reference to the data in Figure 3 and your knowledge of economics, analyse the impact of a fiscal deficit for a country such as Spain.

(6)

7. Question 4 · part b · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

— SCHOOL —

7. Question 4 · part b · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

Wind power became Spain's main energy source in 2021. Renewable energy sources such as wind and solar contributed to almost 47% of the country's energy, compared to 30% in 2011. This has helped to reduce Spain's use of fossil fuels.

"Wind power is going to dominate the Spanish electricity supply for a long time. Spain has it all: we have more wind and more sun than practically any other European country," says Francisco Valverde, an energy consultant.

The Spanish Government is giving €6.9bn in subsidies for renewable energy between 2022 and 2023. These subsidies will help create over 280,000 jobs in the Spanish economy. Over 60% of solar and 90% of wind energy equipment is manufactured in Spain.

(Source: https://english.elpais.com/economy-and-business/2021-12-14/wind-power-becomes-spains-leading-energy-source-for-2021.html)

(c) With reference to the data above and your knowledge of economics, evaluate how effective subsidies are in protecting the environment in a country such as Spain.

(12)

Turn over ▶

7. Question 4 · part b · 6 marks · Working and answer

Working and answer

8. Question 1 · part b · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part b only.

1 (a) Which **one** of the following is a characteristic of progressive taxation?

(1)

☒ **A** The tax rate is the same for all income levels

☒ **B** The tax rate decreases as income increases

☒ **C** The tax rate increases as income increases

☒ **D** The tax rate fluctuates based on the overall level of GDP of the economy

(b) Which **one** of the following describes a fiscal surplus?

(1)

☒ **A** The value of imports is less than the value of exports

☒ **B** The value of imports is greater than the value of exports

☒ **C** Government revenue is less than government expenditure

☒ **D** Government revenue is greater than government expenditure

(c) What is meant by the term income inequality?

(2)

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8. Question 1 · part b · 1 mark · Working and answer

Working and answer

9. Question 3 · part c · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

3 (a) Which **one** of the following is a feature of being a member of a trading bloc?

(1)

☒ **A** Higher tariffs on exports to other members within the bloc

☒ **B** Slower delivery times for goods within the bloc

☒ **C** Can only trade with members within the bloc

☒ **D** Access to a larger market within the bloc

Figure 3 shows imports and exports for a country in $bn.

	$bn
Exports of goods	300
Exports of services	80
Imports of goods	240
Imports of services	50

Figure 3

(b) What is the **visible trade balance** in $bn for the country?

(1)

☒ **A** $30bn

☒ **B** $60bn

☒ **C** $90bn

☒ **D** $250bn

9. Question 3 · part c · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

The fiscal deficit of the US is expected to increase from $1.6tn to $2.6tn over the next 10 years.

(c) Explain **one** possible disadvantage of having a fiscal deficit for a country such as the US.

(3)

9. Question 3 · part c · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Consumers in the UK are very unhappy with another rise in inflation. The consumer price index (CPI) was 3.9% in November and increased to 4% in December 2023.

(d) With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on shoe leather costs for consumers in the UK.

(6)

Turn over ▶

9. Question 3 · part c · 3 marks · Working and answer

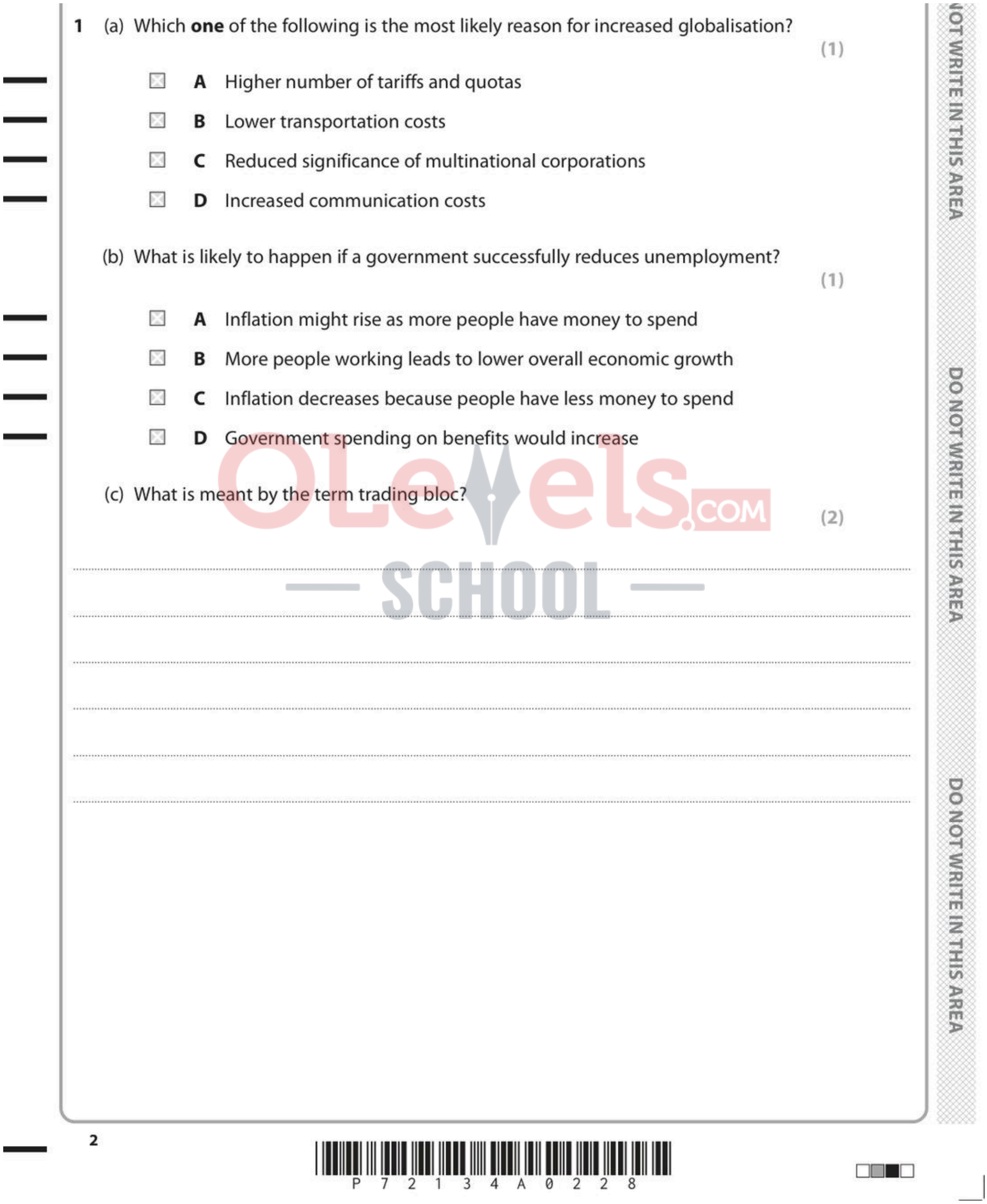
Working and answer

SCHOOL

10. Question 1 · part g · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.



1 (a) Which **one** of the following is the most likely reason for increased globalisation?

(1)

☒ **A** Higher number of tariffs and quotas

☒ **B** Lower transportation costs

☒ **C** Reduced significance of multinational corporations

☒ **D** Increased communication costs

(b) What is likely to happen if a government successfully reduces unemployment?

(1)

☒ **A** Inflation might rise as more people have money to spend

☒ **B** More people working leads to lower overall economic growth

☒ **C** Inflation decreases because people have less money to spend

☒ **D** Government spending on benefits would increase

(c) What is meant by the term trading bloc?

(2)

SCHOOL

10. Question 1 · part g · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

(d) Describe **one** impact on consumers of an increase in interest rates.

(2)

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Figure 1 shows imports and exports for a country in €bn.

	€bn
Exports of goods	150
Exports of services	40
Imports of goods	120
Imports of services	30

Figure 1

(e) Calculate the **visible trade balance** in €bn for the country. You are advised to show your working.

(2)

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10. Question 1 · part g · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

In 2024, France announced a €4bn subsidy package to support the production of hydrogen.

(f) Using the diagram below, draw the effects of the introduction of the subsidy on the equilibrium price and quantity of hydrogen in France. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

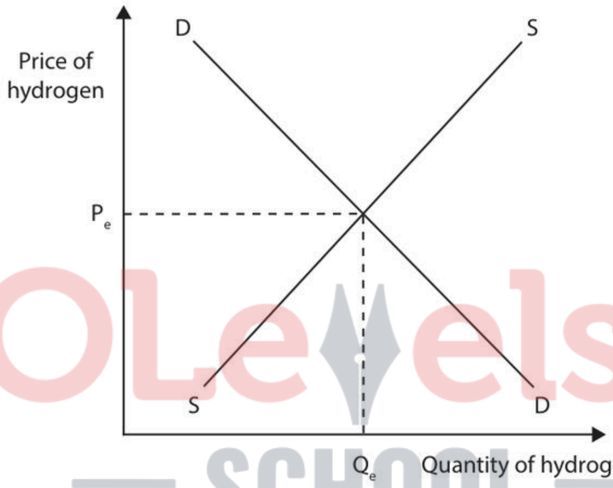

Figure 2

10. Question 1 · part g · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

In December 2023, Portugal reported a fiscal surplus of €6.2bn, which was €3.4bn higher than 12 months before.

(g) Explain **one** possible benefit of a fiscal surplus for a country such as Portugal.

(3)

10. Question 1 · part g · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

In February 2024, the Greek Prime Minister Kyriakos Mitsotakis said that the Greek economy was entering the recovery phase of the economic cycle.

(h) With reference to the data above and your knowledge of economics, analyse the impact of a recovery on unemployment for a country such as Greece.

(6)

10. Question 1 · part g · 3 marks · Working and answer

Working and answer